make depends on the number of shares they own. In addition, shareholders might receive dividends depending on the company's profitability in a given quarter or year and are provided with the company's annual report, which keeps shareholders informed about the company's performance.

2. **Preferred stock.** Preferred stock has certain advantages over common stock in that preferred stock owners have a greater claim to the company's assets and typically earn a fixed dividend payment regardless of how the company is performing. In addition, if the company goes bankrupt, preferred stockholders get paid before common stockholders. However, preferred stock also has its own disadvantages. For instance, preferred stockholders have very limited or no voting rights. Also, a fixed dividend may actually limit the value of their stocks, for example, if the company is performing much better than the value of the fixed dividend the preferred shareholder is receiving.

Based on the differences between the two types of stocks, you assume more risk as a holder of common stock but stand to gain considerably more than preferred stockholders when the company is doing well and growing.

As mentioned earlier on, companies sell stock to raise capital from investors in order to grow their businesses. You buy their stock and in return they incentivize you by aiming to improve the value of the stock by growing the business. As an added bonus, some companies will even pay out dividends tied to their performance and profitability.

MARKET CAPITALIZATION AND STOCKS

If you read or listen to any financial news, you've probably heard the terms *market capitalization* or *market cap*. One way companies are assessed is through their market capitalization. It is essentially the total market value of a company's outstanding shares (which are the stocks currently held by shareholders), and it is calculated by multiplying a company's outstanding shares by the company's stock price per share. This number is used to assess a company's size and value simply based on its sales or assets. Let's look at an example based on a fictional company that I'll call Bola's Tea Shop.